next day. On the contrary the next day was probably the safest time for flying.

In bull markets analysts over react to an unusually good quarterly earnings assuming it would be repeated in the future and become bullish on the stock. In bear markets they overreact to a bad quarterly estimate extrapolating it too far in to the future. The 2004 second quarter GDP growth estimates of 10 per cent saw the markets going up on the assumption that the trend would continue. Actually it needs to be sustainable to justify good times ahead. However, this is how saliency heuristic works with investors.

Overconfidence

This is the story of a family that was reasonably wealthy and lived a comfortable life. The father was in the textile business and had been our client for eight years. He was a cautious investor. Since he lacked knowledge of the stock market, he would go by my advice as it suited his conservative nature. When he started business with us his son was in college, aspiring to become a chartered accountant. The proud father was waiting for his son to graduate so that he could manage his portfolio. I warned him that investment acumen does not come with becoming a chartered accountant. But he strongly believed that since it involved number crunching, and stock investment was all about balance sheet analysis, his son would be an excellent investor. After his graduation, the son, without prior experience took over the family's portfolio. One day he questioned me about some of the investment decisions and I gave him the required explanation. After a month he came back with his father. I was shocked and pained to hear his queries. He listed some stocks in the financial services sector that had gone up considerably, and wanted to know why I had not bought those stocks. I was a bit upset because the question was based on hindsight information, but I thought it my duty to clarify his doubts. I explained that these were fancy stocks and there was no merit in their valuations. I also told him that this bubble would burst soon and the stocks would not have any buyers. At that he shot back, "In your position you should have known that these stocks would go up. Even I did. Unfortunately I